

**BEFORE THE
FEDERAL MARITIME COMMISSION**

TOYOTA DE PUERTO RICO CORP.,

Complainant,

v.

**PUERTO RICO PORTS AUTHORITY,
CROWLEY PUERTO RICO SERVICES
INC., and OCEANIC GENERAL AGENCY
INC.,**

Respondent.

Docket No. 19-02

**SECTION 11 OF THE SHIPPING
ACT OF 1984**

ANSWER TO VERIFIED COMPLAINT

**TO MS. RACHEL E. DICKON
SECRETARY, FEDERAL MARITIME COMMISSION**

COMES NOW respondent **Puerto Rico Ports Authority** (hereinafter the “PRPA”), through its undersigned counsel, and respectfully states and requests as follows:

I. INTRODUCTION

1. The averments contained in Paragraph 1 of Verified Complaint under 46 U.S.C.A. § 41301(a) Shipping Act of 1984 (“Complaint”) are hereby denied as they consist of Complainant Toyota de Puerto Rico Corp. (“Toyota”) characterization of itself as a Complainant and its cause of action. In the alternative, the Paragraph is denied.

2. The averments contained in Paragraph 2 of the Complaint recite legal conclusions which require no response. In the alternative, to the extent that said Paragraph contains legal conclusions and averments related to the PRPA’s allegedly depriving the Complainant of certain alleged rights, it is denied.

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3. The averments contained in Paragraph 3 of the Complaint recite Complainant's claims for relief and legal conclusions which require no response. In the alternative, to the extent that said Paragraph contains legal conclusions and averments related to Complainant's claims for relief and legal conclusions related to its alleged rights, it is denied.

4. The averment contained in Paragraph 4 of the Complaint is hereby denied as it consists of Complainant's characterization of its own efforts to secure alleged reparations from PRPA, despite the fact that PRPA never charged Complainant the Enhanced Security Fee ("ESF"). Further, PRPA currently lacks information sufficient to form a belief as to the truth of the averment. In the alternative, the Paragraph is denied.

II. JURISDICTION AND VENUE

5. The averment contained in Paragraph 5 of the Complaint recites legal conclusions which require no response.

III. PLACE AT WHICH A HEARING IS DESIRED

6. Paragraph 6 of the Complaint recites a legal conclusion which require no response. Further, PRPA believes that discovery should proceed so that the parties may be able to properly set out the facts of the case. Further, at this stage, PRPA believes that genuine issues of material fact abound and the holding of an evidentiary hearing may be required. PRPA consents to said hearing being held in the Commonwealth of Puerto Rico.

IV. PARTIES

7. Respondent currently lacks information sufficient to form a belief as to the truth of the averments in Paragraph 7 of the Complaint, and on that basis denies its averment.

8. Paragraph 8 of the Complaint recites legal conclusions which require no response. It is admitted that the Ports Authority was created per the Organic Act cited in the first sentence of the

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Paragraph. The second sentence of the Paragraph, which relates to physical and postal addresses, is admitted.

9. Respondent currently lacks information sufficient to form a belief as to the truth of the averments in Paragraph 9 of the Complaint, and on that basis denies its averment.

10. Respondent currently lacks information sufficient to form a belief as to the truth of the averments in Paragraph 10 of the Complaint, and on that basis denies its averment.

V. FACTS

A. Existing Fees and Services at Port of San Juan

11. The averments contained in Paragraph 11 of the Complaint are admitted.

12. The averments contained in the first sentence of Paragraph 12 are admitted. PRPA currently lacks information sufficient to form a belief as to the truth of the averments contained in the second sentence.

13. PRPA denies the averments contained in Paragraph 13 of the Complaint as drafted. In the alternative they are denied.

B. Origin of PRPA's Container Scanning Regulation

14. The averments contained in Paragraph 14 of the Complaint recite legal conclusions and states no specific averments against PRPA. Thus, no responsive pleading is required. In the alternative they are denied.

15. The averments contained in Paragraph 15 of the Complaint recite legal conclusions and states no specific averments against PRPA. Thus, no responsive pleading is required. In the alternative they are denied.

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16. The averments contained in Paragraph 16 of the Complaint recite legal conclusions and states no specific averments against PRPA. Thus, no responsive pleading is required. In the alternative they are denied.

17. The averments contained in Paragraph 17 of the Complaint recite legal conclusions and states no specific averments against PRPA. Thus, no responsive pleading is required. In the alternative they are denied.

18. PRPA currently lacks information sufficient to form a belief as to the truth of the averments in Paragraph 18 of the Complaint, and on that basis denies them. In the alternative they are denied. PRPA admits that it implemented the cargo scanning system pursuant to the legislative mandate of Act No. 12 of February 18, 2008 (“Act 12”), 23 P.R. Laws Ann. §§ 3221 *et seq.*

C. The “Enhanced Security Fee” (“ESF”)

19. The averments contained in Paragraph 19 of the Complaint recite legal conclusions and states no specific averments against PRPA. In the alternative they are denied. To the extent that the response may be required, PRPA established the ESF to recover the costs of implementing and operating the cargo scanning system. It is further admitted that Rapiscan Systems, Inc. and S2 Services Puerto Rico LLC (“S2”) subscribed a services contract with the PRPA to manage scanning technology and perform electronic scanning of cargo entering through the San Juan port, among other reasons, in order to systematically improve security and safety at the port, as congressionally mandated.

20. The averments contained in Paragraph 20 of the Complaint are denied as drafted. In the alternative, they are denied. PRPA admits that it assesses the ESF on ocean carriers to defray the costs of operating the non-intrusive cargo scanning program at the Port of San Juan, implemented pursuant to the legislative mandate of Act No. 12.

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21. The averments contained in Paragraph 21 of the Complaint recite legal conclusions and state no specific averments against PRPA. Thus, no responsive pleading is required. In the alternative, said paragraph is denied.

22. The averments contained in Paragraph 22 of the Complaint recite legal conclusions and state no specific averments against PRPA. Thus, no responsive pleading is required. In the alternative, said paragraph is denied.

23. PRPA currently lacks information sufficient to form a belief as to the truth of the averments in Paragraph 23 of the Complaint, and on that basis denies them. In the alternative, said paragraph is denied.

24. The averments contained in Paragraph 24 of the Complaint are denied as drafted. In the alternative, they are denied. PRPA admits that it assesses the ESF on ocean carriers to defray the costs of operating the non-intrusive cargo scanning program at the Port of San Juan, implemented pursuant to the legislative mandate of Act No. 12.

25. The averments contained in Paragraph 25 of the Complaint are denied as drafted. In the alternative, they are denied. PRPA admits that it assesses the ESF on ocean carriers to defray the costs of operating the non-intrusive cargo scanning program at the Port of San Juan, implemented pursuant to the legislative mandate of Act No. 12.

26. PRPA currently lacks information sufficient to form a belief as to the truth of the averments in Paragraph 26 of the Complaint, and on that basis denies it. In the alternative, said paragraph is denied.

27. The averments contained in Paragraph 27 of the Complaint are denied as drafted. In the alternative, they are denied. PRPA admits that it assesses the ESF on ocean carriers to defray the costs

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of operating the non-intrusive cargo scanning program at the Port of San Juan, implemented pursuant to the legislative mandate of Act No. 12.

28. PRPA currently lacks information sufficient to form a belief as to the truth of the averments in Paragraph 28 of the Complaint, and on that basis denies it. In the alternative, said paragraph is denied.

29. PRPA currently lacks information sufficient to form a belief as to the truth of the averments in Paragraph 29 of the Complaint, and on that basis denies it. In the alternative, said paragraph is denied.

D. The ESF Violates the Commerce Clause and is Therefore Illegal

30. The averments contained in Paragraph 30 of the Complaint are not directed at the PRPA, and thus do not required a response. In the alternative, the Paragraph is denied for lack of sufficient information at this time to form an opinion as to the veracity of the statement.

31. The averments contained in Paragraph 31 of the Complaint are not directed at the PRPA, and thus do not required a response. In the alternative, it is denied for lack of sufficient information at this time to form an opinion as to the veracity of the statement.

32. The averments contained in Paragraph 32 of the Complaint are not directed at the PRPA, and thus do not required a response. In the alternative, the Paragraph is denied for lack of sufficient information at this time to form an opinion as to the veracity of the statement.

33. The averments contained in Paragraph 33 of the Complaint are not directed at the PRPA, and thus do not required a response. In the alternative, the Paragraph is denied for lack of sufficient information at this time to form an opinion as to the veracity of the statement.

34. The averments contained in Paragraph 34 of the Complaint are not directed at the PRPA, and thus do not required a response. Further, to the extent that said Paragraph contains legal

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conclusions and averments related to Complainant's claims related the validity of the cargo scanning system and its implementation, it is denied. In the alternative, it is denied.

35. To the extent that averments contained in Paragraph 35 of the Complaint contain legal conclusions and averments related to Complainant's claims related the validity of the cargo scanning system and its implementation, it is denied. In the alternative, it is denied.

36. PRPA currently lacks information sufficient to form a belief as to the truth of the averments in Paragraph 36 of the Complaint, and on that basis denies it. Discovery must be conducted on this issue, particularly where Crowley Puerto Rico Services, Inc. ("Crowley") and Oceanic General Agency Inc. ("Oceanic") are no longer parties to this litigation and/or readably to disclose the information.

37. PRPA currently lacks information sufficient to form a belief as to the truth of the averments in Paragraph 37 of the Complaint, and on that basis denies it. Discovery must be conducted on this issue, particularly where Crowley and Oceanic are no longer parties to this litigation and/or readably to disclose the information.

38. The averments contained in Paragraph 38 of the Complaint recite Complainant's claims for relief and legal conclusions which require no response. In the alternative, to the extent that said Paragraph contains legal conclusions and averments related to Complainant's claims for relief and legal conclusions related to its alleged rights, it is denied. Further, PRPA currently lacks information sufficient to form a belief as to the truth of the averments related to Complainant's method of shipping it product(s) to Puerto Rico, and on that basis, it also denies the Paragraphs second sentence. Discovery must be conducted on this issue, particularly where Crowley and Oceanic are no longer parties to this litigation and/or readably to disclose the information.

VI. FIRST CAUSE OF ACTION: VIOLATION OF 46 U.S.C.A. § 41102

39. The averment contained in Paragraph 39 of the Complaint is not directed at the PRPA and does not required a response.

40. The averment contained in Paragraph 40 of the Complaint recites legal conclusions and states no specific averments against PRPA. Thus, no responsive pleading is required. In the alternative, said paragraph is denied.

41. The averments contained in Paragraph 41 of the Complaint recite legal conclusions and states no specific averments against PRPA. Thus, no responsive pleading is required. In the alternative, said paragraph is denied.

42. The averments contained in Paragraph 42 of the Complaint recite legal conclusions and states no specific averments against PRPA. Thus, no responsive pleading is required.

43. The averment contained in Paragraph 43 of the Complaint recites legal conclusions and states no specific averments against PRPA. Thus, no responsive pleading is required. In the alternative, said paragraph is denied.

44. The averment contained in Paragraph 44 of the Complaint recites legal conclusions and states no specific averments against PRPA. Thus, no responsive pleading is required. In the alternative, said paragraph is denied.

45. The averment contained in Paragraph 45 of the Complaint recites legal conclusions and states no specific averments against PRPA. Thus, no responsive pleading is required. In the alternative, said paragraph is denied.

46. PRPA currently lacks information sufficient to form a belief as to the truth of the averments contained in the first sentence of Paragraph 46 of the Complaint, and on that basis denies it. Discovery must be conducted on this issue, particularly where Crowley and Oceanic are no longer

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parties to this litigation and/or readably to disclose the information. The averments contained in the second sentence of Paragraph 46 of the Complaint recite Complainant's legal conclusions which require no response. In the alternative, to the extent that said second sentence contains legal conclusions, it is denied.

47. The averments contained in the first sentence of Paragraph 47 of the Complaint are denied as drafted. The second sentence of Paragraph 47 of the Complaint recite Complainant's legal conclusions which require no response. In the alternative, to the extent that said second sentence contains legal conclusions, it is denied.

48. PRPA currently lacks information sufficient to form a belief as to the truth of the averments contained in the first two sentences of Paragraph 48 of the Complaint, and on that basis denies them. Discovery must be conducted on this issue, particularly where Crowley and Oceanic are no longer parties to this litigation and/or readably to disclose the information. The averments contained in the third sentence of Paragraph 48 of the Complaint recite Complainant's legal conclusions which require no response. In the alternative, to the extent that said third sentence contains legal conclusions, it is denied.

49. The averments contained in Paragraph 49 of the Complaint are denied. PRPA admits that it assesses the ESF on ocean carriers to defray the costs of operating the non-intrusive cargo scanning program at the Port of San Juan, implemented pursuant to the legislative mandate of Act No. 12.

50. The averments contained in Paragraph 50 of the Complaint recite legal conclusions and states no specific averments against PRPA. Thus, no responsive pleading is required. In the alternative, they are denied.

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51. The averments contained in Paragraph 51 of the Complaint recite legal conclusions and states no specific averments against PRPA. Thus, no responsive pleading is required. In the alternative, they are denied.

52. The averment contained in Paragraph 52 of the Complaint recites legal conclusions and states no specific averments against PRPA. Thus, no responsive pleading is required. In the alternative, they are denied.

53. The averments contained in Paragraph 53 of the Complaint recite legal conclusions and states no specific averments against PRPA. Thus, no responsive pleading is required. In the alternative, they are denied.

54. The averments contained in Paragraph 54 of the Complaint recite legal conclusions and states no specific averments against PRPA. Thus, no responsive pleading is required. In the alternative, they are denied.

55. PRPA currently lacks information sufficient to form a belief as to the truth of the averments contained in Paragraph 55 of the Complaint, and on that basis denies it. Discovery must be conducted on this issue, particularly where Crowley and Oceanic are no longer parties to this litigation and/or readably to disclose the information. In the alternative, said paragraph is denied.

56. PRPA currently lacks information sufficient to form a belief as to the truth of the averments contained in Paragraph 56 of the Complaint, and on that basis denies it. Discovery must be conducted on this issue, particularly where Crowley and Oceanic are no longer parties to this litigation and/or readably to disclose the information. In the alternative, said paragraph is denied.

57. PRPA currently lacks information sufficient to form a belief as to the truth of the averments contained in Paragraph 57 of the Complaint, and on that basis denies it. Discovery must be conducted on this issue, particularly where Crowley and Oceanic are no longer parties to this

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litigation and/or readably to disclose the information. Further, the averments contained in Paragraph 57 recite legal conclusions which are denied.

58. The averments contained in Paragraph 58 of the Complaint are denied.

59. The averments contained in Paragraph 59 of the Complaint recite legal conclusions and states no specific averments against PRPA. Thus, no responsive pleading is required. In the alternative, they are denied.

60. The averments contained in Paragraph 60 of the Complaint are denied.

VII. SECOND CAUSE OF ACTION: VIOLATION OF 46 U.S.C.A. § 41104

61. The averment contained in Paragraph 61 of the Complaint is not directed at the PRPA and does not required a response.

62. The averments contained in Paragraph 62 of the Complaint recite legal conclusions and state no specific averments against PRPA. Thus, no responsive pleading is required.

63. The averments contained in Paragraph 63 of the Complaint recite legal conclusions and state no specific averments against PRPA. Thus, no responsive pleading is required.

64. The averments contained in Paragraph 64 of the Complaint are denied.

65. The averments contained in Paragraph 65 of the Complaint recite legal conclusions and state no specific averments against PRPA. Thus, no responsive pleading is required. In the alternative, said paragraph is denied.

66. The averments contained in Paragraph 66 of the Complaint recite legal conclusions and state no specific averments against PRPA. Thus, no responsive pleading is required. In the alternative, said paragraph is denied.

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67. The averments contained in Paragraph 67 of the Complaint recite legal conclusions and state no specific averments against PRPA. Thus, no responsive pleading is required. In the alternative, said paragraph is denied.

68. The averments contained in Paragraph 68 of the Complaint recite legal conclusions and state no specific averments against PRPA. Thus, no responsive pleading is required. In the alternative, said paragraph is denied.

69. The averments contained in Paragraph 69 of the Complaint are denied.

VIII. THIRD CAUSE OF ACTION: VIOLATION OF 46 U.S.C.A. § 41102

70. The averment contained in Paragraph 70 of the Complaint is not directed at the PRPA and does not required a response.

71. The averments contained in Paragraph 71 of the Complaint recite legal conclusions and state no specific averments against PRPA. Thus, no responsive pleading is required. In the alternative, the Paragraph is denied.

72. The averments contained in Paragraph 72 of the Complaint recite legal conclusions and state no specific averments against PRPA. Thus, no responsive pleading is required. In the alternative, the Paragraph is denied.

73. The averments contained in Paragraph 73 of the Complaint recite legal conclusions and state no specific averments against PRPA. Thus, no responsive pleading is required. In the alternative, the Paragraph is denied.

74. The averments contained in Paragraph 74 of the Complaint are denied. In the alternative, the Paragraph is denied.

IV. REMEDIES

75. The averments contained in Paragraph 75 of the Complaint are not directed at the PRPA and do not required a response. In the alternative, the Paragraph is denied.

X. INJURY AND CASUATION

76. The averments contained in Paragraph 76 of the Complaint recite legal conclusions and state no specific averments against PRPA. Thus, no responsive pleading is required. In the alternative, the Paragraph is denied.

77. The averments contained in Paragraph 77 of the Complaint recite legal conclusions and state no specific averments against PRPA. Thus, no responsive pleading is required. In the alternative, the Paragraph is denied.

78. The averments contained in Paragraph 78 of the Complaint recite legal conclusions and state no specific averments against PRPA. Thus, no responsive pleading is required. In the alternative, the Paragraph is denied.

XI. PRAYER FOR RELIEF

The averments contained in the Prayer of the Complaint recite legal conclusions and state no specific averments against PRPA. In the alternative, the paragraph is denied.

AFFIRMATIVE DEFENSES

1. The Complaint fails to state a claim upon which relief can be granted.
2. The Complaint fails to state any specific acts of the Defendants which amount to a deprivation of any of the Plaintiffs' constitutional and/or federally protected rights.
3. The Complaint fails to state a claim cognizable under any applicable federal or state statutes or regulations.

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4. This Federal Maritime Commission lacks jurisdiction over the subject matters in the instant action.

5. Complainant lacks standing to sue, for among other reasons, because they are not the parties which directly pay the ESF. Any cause caused of action they could possibly raise would entail contract claim against the shipping companies and/or the shipping operators who charge them shipping fees, with a markup.

6. The claims are not ripe, for among other reasons, because the Complainant have failed to exhaust remedies and/or seek judicial review of any administrative decisions which adversely affect them related to the ESF.

7. The claims are moot, among other reasons, because the majority of their claims have been resolved in State and federal cases related to the ESF.

8. The Plaintiffs' claims are not actionable, among other reasons, because the Ports Authority's Organic Act and Act # 12 of February 18, 2008 conferred the PRPA the authority necessary to implement and manage the cargo scanning program, which is an essential security measure.

9. The Complainant's claims are time-barred, since the Puerto Rico's one (1) year statute of limitations applicable to tort claims applies to § 1983 claims such as Plaintiffs'.

10. The Complainant's claim are barred by the doctrine of laches, among other reasons, because they benefit from the cargo scanning program and voluntarily and contractually paid shipping fees to the shipping companies and shipping operators, despite knowing that they could have refused to pay the same, as did others. Further, they never questioned the ESF, despite it being filed with the Federal Maritime Commission and/or the Surface Transportation Board.

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11. The Complainant's recovery of damages, if any, would be limited to violations occurring within the applicable one (1) year statute of limitations period, since they have been aware of their claims since the ESF was implemented.

12. The claims raised are barred by principles of comity, since the challenged fee is charged by the State/Commonwealth government.

13. The claims raised are barred by principles of comity, for among other reasons, because the challenged fee is a *tax* charged by the State/Commonwealth government.

14. Complainant's requests for redress are barred by the Tax Injunction Act.

15. Complainant's claims are barred by the doctrine of *res judicata* since, among other reasons, the and other trade organizations have been involved in state and federal litigation, and is currently litigating at the state level, claims directly related to the Plaintiffs' claims. (See, State Case Nos. 2015-002, KLRA201601056 and KLRA201601280; and Federal Case Nos. 11-1978 (BJM), 2013 U.S. Dist. LEXIS 150275, and Court of Appeals Case No. 13-2518, 787 F.3d 141 (1st Cir. 2015).)

16. The Complainant recovered any sums which it may have been charged by ocean carriers or its agents related to the ESF, by passing said costs onto its customers. Thus, Complainant has not suffered monetary damages of any kind.

17. This Federal Maritime Commission should abstain from entertaining this case, since the cargo scanning program is part of a complex security program, involving a number of federal and state agencies that are implementing congressionally mandated port security measures. Further, there have been and currently is litigation pending at the State level regarding the contents of the Plaintiffs claims. Further, the Ports Authority's Organic Act and Act # 12 of February 18, 2008 conferred the Defendant the authority necessary to implement and manage the cargo scanning program.

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18. The PRPA has not deprived the Complainant of any federally protected right or privilege.

19. PRPA is a hybrid governmental entity which is an arm of the Commonwealth of Puerto Rico, entitled to sovereign immunity as to all claims raised by Complainant. *See* as an example *Thacker v. TVA*, 203 L. Ed. 2d 668, 139 S. Ct. 1435 (2019).

20. PRPA is an arm of the Commonwealth of Puerto Rico, entitled to qualified immunity as to all claims raised by Complainant.

21. Complainant failed to mitigate its damages related to the causes of action contained in Complaint, if indeed they are entitled to any at all. Thus, it should be denied damages or any such damages should be reduced to the extent that they failed to comply with their duty to mitigate.

22. There is no causal connection and/or relationship between any of PRPA acts and/or omission that can be attributable to any of the Complainant's alleged damages.

23. PRPA cannot be held liable for any acts and/or omissions attributable to third parties.

24. Complainant is not users of the Port of San Juan.

25. Complainant has failed to state a claim for which relief can be granted, since it lacks standing. Complainant has suffered no direct economic injury, because it's not subject to the ESF. The ESF is paid by certain port users that are not part of this case. Complainant has not paid the ESF to PRPA.

26. PRPA is not responsible for any contractual agreements that Complainant may have voluntarily entered with its corresponding shippers. Complainant is not legally obliged to reimburse their shippers for any ESF paid to PRPA by such shippers, unless they contractually agreed to. Likewise, PRPA is not responsible for any administrative fees that Complainant may have voluntarily agreed to pay its shippers.

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27. The *Filed Rate* doctrine bars any monetary damages sought by Complainant related to all of its claims, including the fee and/or rate-related claims, since said fees and the ESF were filed with state or federal agencies, including the Federal Maritime Commission and/or with the Surface Transportation Board and Plaintiffs raised no objections to said fees.

28. Complainant is a member, or was a member, at any time between October 4, 2011 and the present, of the (i) MIDA, the (ii) “Asociacion de Industriales de Puerto Rico,” the (iii) “Camara de Comercio de Puerto Rico” and/or the (iv) “Asociacion de Navieros de Puerto Rico,” are barred from pursuing the claims raised in the Complaint under the doctrine of *Res Judicata* (Claim Preclusion). Further, and as a matter of example, MIDA has been involved in state and federal litigation, and is currently litigating at the state level claims directly related to the Complainant’s claims.

29. Complainant is a member, or was a member, at any time between October 4, 2011 and the present, of the (i) MIDA, the (ii) “Asociacion de Industriales de Puerto Rico,” the (iii) “Camara de Comercio de Puerto Rico” and/or the (iv) “Asociacion de Navieros de Puerto Rico,” are barred from pursuing the claims raised in the Complaint under the doctrine of *Collateral Estoppel* (Issue Preclusion). Further, and as a matter of example, MIDA has been involved in state and federal litigation, and is currently litigating at the state level claims directly related to the Plaintiffs’ claims.

30. Pursuant to Puerto Rico Act No. 66-2014, known as the "Government of the Commonwealth of Puerto Rico Special Fiscal and Sustainability Act." P.R. Law. Ann. tit. 3, §§ 9101-9153, any judgment which the Complainant may be entitled to would be subject to partial payments based on the precepts set forth in said act.

31. Complainant has failed to join a necessary and indispensable party: the Commonwealth of Puerto Rico’s Treasury Department. The Treasury Department executed a memorandum of

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understanding whereby it agreed to staff all of the scanning stations at PRPA's San Juan port with Treasury Department employees. Pursuant to that agreement, PRPA reimbursed the Treasury Department for all of its costs and services, which are estimated at approximately \$1 million dollars annually. In sum, a portion of the ESF collected by PRPA is used to reimburse Treasury Department for its services.

32. The instant case is subject to the "automatic stay" under the Puerto Rico Oversight, Management, and Economic Stability Act ("PROMESA"), pursuant to 11 U.S.C. § 362, since, the Treasury Department will be forced to return a portion of the ESF collected by PRPA if Complainant ultimately succeeds on any of its claims.

33. Complainant has *de facto* failed to join a required and indispensable party: the (a) shipping operators and the (b) shipping companies who actually pay the ESF, which the Plaintiffs challenge. Specifically, Complainant voluntarily dismissed all claims against them.

34. PRPA alleges that the granting of the Complainant demands and prayers in this Complaint, if proven, would result in Unjust Enrichment, as Complainant would receive more money than it would otherwise be entitled to receive, if indeed it is entitled to any at all.

35. The Complainant's claim is barred by the doctrine of unclean hands.

36. The Complainant is not entitled to recover any special damages not plead. That includes, but is not limited to attorney's fees, costs and expenses associated with this litigation.

37. The Federal Maritime Commission should abstain from entertaining this case, since the cargo scanning program is part of a complex security program, involving a number of federal and state agencies that are implementing congressionally mandated port security measures. Further, there has been and currently is litigation pending at the State and Federal levels regarding the contents of the Complainant's claims. Further, the Ports Authority's Organic Act and Act # 12 of February 18,

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2008 conferred the PRPA the authority necessary to implement and manage the cargo scanning program.

38. The Complainant's claim are barred by the waiver doctrine.

39. The Complainant's claims are actually a monies collection claims, rather than a Constitutional and/or Shipping Act challenge to the ESF.

40. Complainant does not affirmatively allege that the PRPA charged it the ESF, thus it was another party who allegedly deprived them of their Constitutional rights.

41. The Commonwealth of Puerto Rico and the PRPA exercise of police power for the general public's welfare was adequate and protected by the Tenth Amendment.

42. None of the alleged acts and/or omissions described in the Complaint entail violations to any of the Complainant's Constitutional or statutory rights.

43. PRPA's interpretation of Law No. 12 of February 18, 2008, 23 L.P.R.A. §§ 3221 *et seq.*, has not been arbitrary, capricious, or manifestly contrary to the statute. Its construction and implementation of the statutory scheme mandated by Law No. 12 is entitled to deference.

44. The scanning procedure is a valid exercise of Puerto Rico's police powers and does not unduly burden interstate commerce.

45. Improving tax collection and port security are legitimate state goals.

46. PRPA relevant regulations do not burden interstate commerce in a meaningful way.

47. The ESF does not discriminate against interstate commerce. It applies with equal force to all cargo arriving at the San Juan port whether originated within or outside of Puerto Rico.

48. P.R. Laws Ann. Tit. 23 §§ 331-354 and §§ 3221-3223, which contains the Organic Act of the Ports Authority and the improved safety procedures act, clearly grants PRPA the authority to levy all fees, rents, tariffs, and other charges, which it deems necessary to cover the maintenance

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costs, security, safety and other costs which must be defrayed related to the ports under its jurisdiction. Such authority included the authority to charge the ESF.

49. The Commonwealth and PRPA have a legitimate interest in securing safe ports and Regulation 8067 was a permissible exercise of police power granted to both under the Constitutions of the United States and the Commonwealth.

50. PRPA is statutorily empowered to develop, improve, own, operate, and manage marine transportation facilities, and make available the services and benefits thereof in the most extensive and least costly manner possible, thereby promoting the general safety and welfare of the Commonwealth.

51. The States may permissibly enact regulations for the policing of harbor areas and may impose fees to cover the costs of those activities under Article 1, Section 10, Clause 2. The Federal Maritime Commission should deem that said article, section and clause apply with full force to the Commonwealth.

52. The U.S. Supreme Court has held that inspection fees, harbor fees and user fees are a valid exercise of a State's Police Power.

53. The alleged actions and/or omissions described in the Complaint by Complainant are not the proximate cause of their alleged damages.

54. The ESF is a tax.

55. The ESF does not implicate Shipping Act violations, among other reasons, because they benefit from the cargo scanning program and voluntarily and contractually paid shipping fees to the shipping companies and shipping operators, despite knowing that they could have refused to pay the same, as did others. Further, Complainant never questioned the ESF, despite it being filed with the Federal Maritime Commission and/or the Surface Transportation Board.

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56. Complainant's claims should be directed at the shipping companies and shipping operators, with whom it had a contractual claims, since it was with said parties that Complainant negotiated and paid shipping fees. Complainant could have simply refused to pay the ESF, but voluntarily chose to pay the same.

57. Complainant is precluded from proceeding with its claims, since it did not exhaust administrative remedies nor secured a final decision from the PRPA regarding its claims prior to filing this suit. Thus, its Complaint is premature.

58. The shipping companies and/or shipping operators are responsible for any alleged damages caused to the Complainant, and not any alleged act or omission attributable to PRPA. Further, PRPA should not be and cannot be held liable for acts of a third party.

59. The Federal Maritime Commission should refrain from addressing the claims raised in the Complaint, particularly were the facts at issue are being considering and are pending before the Commonwealth of Puerto Rico's Supreme Court.

60. Settlement agreements and contracts amongst the relevant parties to this lawsuit, including parties that were not included, bar this suit.

61. Complainant waived any Shipping Act rights which it may have had.

62. The balance of equities and public interest favors PRPA and the Commonwealth.

63. Complainant's attempt to derail PRPA's efforts to implement and maintain the ports' scanning systems poses an immediate threat to public safety and security.

64. The ESF and its relevant statutes and regulations do not implicated in any Shipping Act violation.

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65. The ESF and its relevant statutes and regulations were enacted due to a Congressional mandate to increase security measures at U.S. Ports, including those in territories such as the Commonwealth.

66. The ESF is and has been shown to be reasonable and adequate.

67. The ESF is not protectionist or discriminatory in purpose or effect.

68. Both instate and out of state commercial interests are similarly situated.

69. The Complainant's Complaint does not identify a single in-state commercial interest that is favored by the alleged conduct or regulation, much less favored at the expense of out-of-state competitors.

70. The Complainant's Complaint does not identify a single discriminatory act caused by the alleged conduct or regulation, much less favored at the expense of Complainant.

71. The ESF and its relevant statutes and regulations pursue a legitimate state public interest, and any effect upon commerce is purely incidental and minimal.

72. Any burden imposed upon commerce as a result of the ESF and its relevant statutes and regulations, which PRPA denies, is not excessive in relation to the clear and uncontested benefits received by the Complainant and society as a whole. In sum, any burden which they may cause is far outweighed by its benefits.

73. The ESF charged barely serves to cover the expenses incurred by PRPA to implement the same. Thus, it is by no means excessive.

74. Complainant benefits from the regulation, inspections and payment of the ESF.

75. The Complainant's case is frivolous. Thus, PRPA is entitled to the payment of costs and reasonable attorney's fee.

76. Defendant affirmatively raises and reserves all applicable equitable defenses.

77. At all relevant times, PRPA has acted in good faith and with legal justification.

78. PRPA denies the amounts alleged as owed, and claim, that if any, it is less than the amounts executed among the parties.

79. PRPA reserves the right to amend and/or add additional Answers, defenses and/or a Counterclaim as they become available through discovery or other investigation.

80. PRPA does not waive any other affirmative defense that might emerge as a result of the discovery mechanisms to be used in the instant case.

81. Any allegation that has not been expressly admitted, it is hereby denied.

Certificate of Service: I hereby certify that on this same date the foregoing notice was served upon the following attorneys and participants of record: counsel for **Toyota de Puerto Rico Corp.** - Rafael Escalera Rodriguez, Esq. (escalera@reichardescalera.com), Sylvia M. Arizmendi, Esq. (arizmendis@reichardescalera.com), Alan M. Vizcarrondo Santana, Esq. (vizcarrondo@reichardescalera.com), and Zarel J. Soto Acaba, Esq. (zsoto@reichardescalera.com).

RESPECTFULLY SUBMITTED.

In San Juan, Puerto Rico, this 16th day of July, 2019.

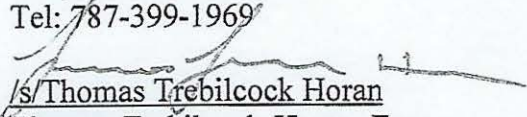
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